

11-4a Attack and Counterattack

In the form of price cuts, advertising campaigns, market entries, new product introductions, and lawsuits (see the [Opening Case](#)),

attack ([An initial set of actions to gain competitive advantage.](#)) can be defined as an initial set of actions to gain competitive advantage. Consequently,

counterattack ([A set of actions in response to attack.](#)) is defined as a set of actions in response to attack (see the [Closing Case](#)). This section focuses on a key question: What kinds of attack are more likely to be successful?

Obviously, unopposed attacks are more likely to be successful. Thus, attackers need to be aware of the three drivers for counterattacks:

(1) awareness,

(2) motivation, and

(3) capability.

- If an attack is so subtle that rivals are not *aware* of it, the attacker's objectives are likely to be attained. Consider how Haier entered the United States. Although Haier dominates China with a broad range of appliances, it chose to enter the US in a most non-threatening segment: mini-bars (compact refrigerators) for hotels and dorms. Do you remember the brand of the mini-bar in the last hotel room where you stayed? Evidently, not only did you fail to pay attention to that brand, but incumbents such as GE and Whirlpool also dismissed this segment as peripheral and low margin. In other words, they were not aware they were being attacked. Thanks in part to the incumbents' lack of awareness, Haier now commands a 50% US market share in compact refrigerators and has built a factory in South Carolina to go after more lucrative product lines.

- *Motivation* is also crucial. If the attacked market is of marginal value, managers may decide not to counterattack. One interesting idea is the "[blue ocean strategy](#) ([Strategy that focuses on developing new markets \("blue ocean"\) and avoids attacking core markets defended by rivals, which is likely to result in a bloody price war or a "red ocean."](#))

" that avoids attacking core markets defended by rivals. A thrust on rivals' core markets is very likely to result in a bloody price war—in other words, a "red ocean." A new airline startup Azul (which means "blue" in Portuguese) has deliberately avoided Brazil's busiest route between São Paulo and Rio de Janeiro. The 45-minute trip

between them is already the most-traveled route in the *world*, with an astounding 284 daily flights dominated by two incumbents, Gol and Tam (see [Table 11.2](#)). Sticking Azul's nose into such a crowded airspace will immediately attract retaliation, resulting in a "red ocean"—remember Cell 4 in [Figure 11.1](#)? Instead, Azul uses its limited slots at São Paulo's and Rio's airports to strengthen its service connecting these two cities and Brazil's vast hinterland. Founded in 2008, Azul has risen to enjoy an 18% market share of Brazil's growing air traffic by positioning itself as a small-town carrier. In three-quarters of the cities it serves, it is the only or dominant airline. Clearly, Brazil's vast, underserved hinterland is the "blue ocean" for the "blue airline." While certainly being aware of Azul's rise, the incumbents are not motivated to counterattack the markets that they did not bother to enter in the first place.

Table 11.2

The World's Busiest Airline Markets (Number of Daily Flights)

1	2	3	4	5
São Paulo- Rio de Janeiro, Brazil (284)	Seoul-Jeju, South Korea (209)	Sydney- Melbourne, Australia (192)	New York- Chicago, United States (184)	Tokyo- Fukuoka, Japan (136)

Source: Adapted from *Bloomberg Businessweek*, 2014, *The carrier that avoids Brazil's No. 1 air route*, August 11: 24.

- Even if an attack is identified and a firm is motivated to respond, it requires strong *capabilities* to carry out counterattacks—as discussed in our earlier section on resources.

Overall, minimizing an opponent's awareness, motivation, and capabilities is more likely to result in successful attacks. Frontal, infrequent, and predictable attacks typically find rivals well prepared. Winning firms excel at making subtle, frequent, but unpredictable moves.

Why does Azul deliberately avoid Brazil's busiest route between São Paulo and Rio de Janeiro?

Paulo Whitaker/Reuters

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